Schroders

The fog of war

Views from the Global Unconstrained Fixed Income team

Monthly Outlook, March 2026

Marketing material for professional clients only.

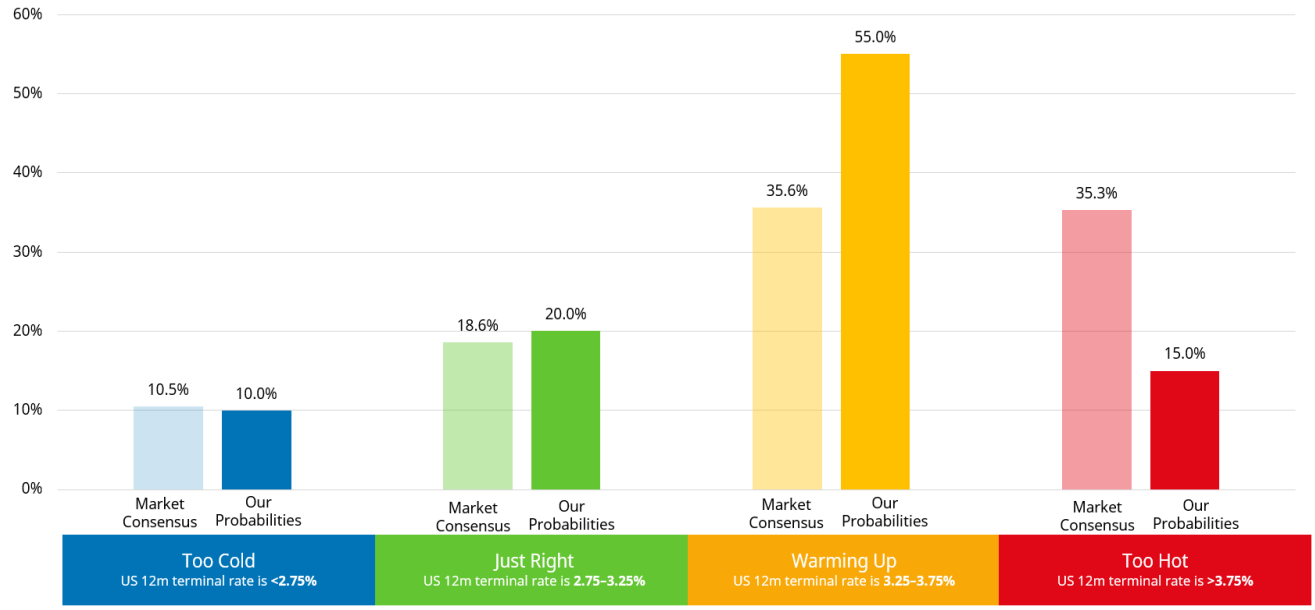
The war in Iran has entered its third week and various outcomes remain possible. This makes it difficult to have clarity around the economic and financial market outlook- the world economy will simply look very different if oil is above $120 versus if it is below $90.[1]

In this environment the best course of action is to be humble about what we don't (and can't) know and focus on those geographies and asset classes where we have conviction.

> "The oil supply shock has seen us widen the tail-risks in our probabilities....."

The oil supply shock has seen us widen the tail-risks in our probabilities, with both 'wings' rising versus last month at the expense of the mildly dovish 'just right' scenario. Predictably, given the inflationary impact of the oil shock, our 'too hot'[2] scenario rose, but we remain lower than the market-implied probability here (shown by the faded bars).

Probabilities assigned to our scenarios in March versus market consensus



Source: Schroders Global Unconstrained Fixed Income team, Market Probability Tracker, Federal Reserve Bank of Atlanta,18 March 2026. For illustrative purposes only

[1] For more on the outlook for oil and energy markets, please refer to the views of our commodities colleagues. Here: Iran conflict and the implications for oil and other commodities

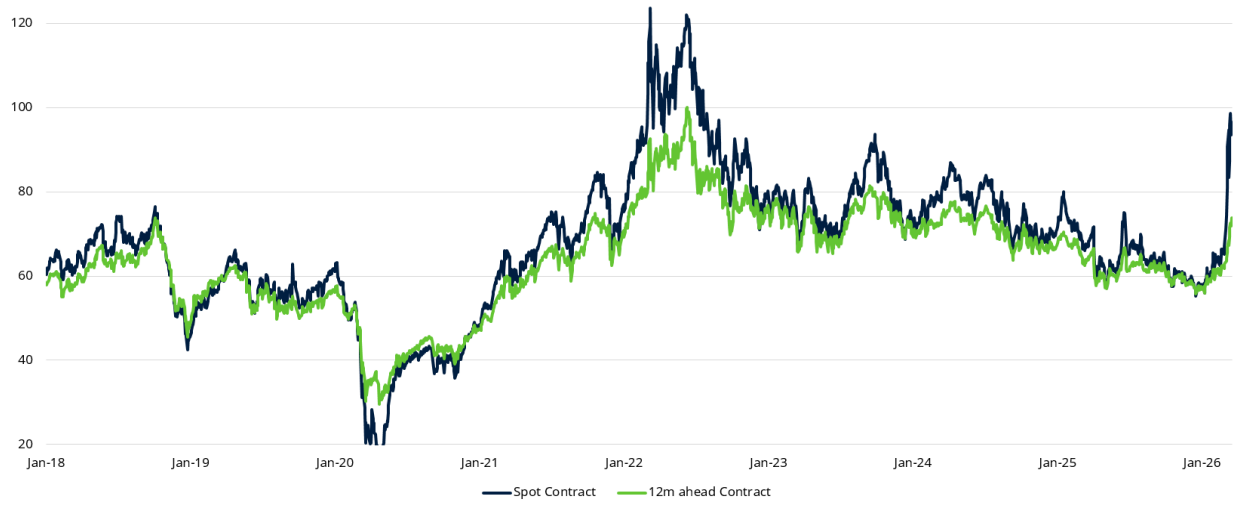
[2] A scenario which would see the market pricing in Fed hikes in 2026.

Duration matters

Spoken like a true fixed income investor.

But in this instance, we don't (just) mean bond duration, but the persistence of the current conflict. As above, there are lots of things we don't know about how this will resolve, but we observe markets are currently pricing this as a sharp but ultimately short shock before normalisation. We would simply caution that anything that challenges this thesis will cause further market volatility ahead.

Front month oil has risen hugely, but 12m ahead oil has barely moved- market is pricing this to be short-lived



Source: Schroders, Macrobond March 2026

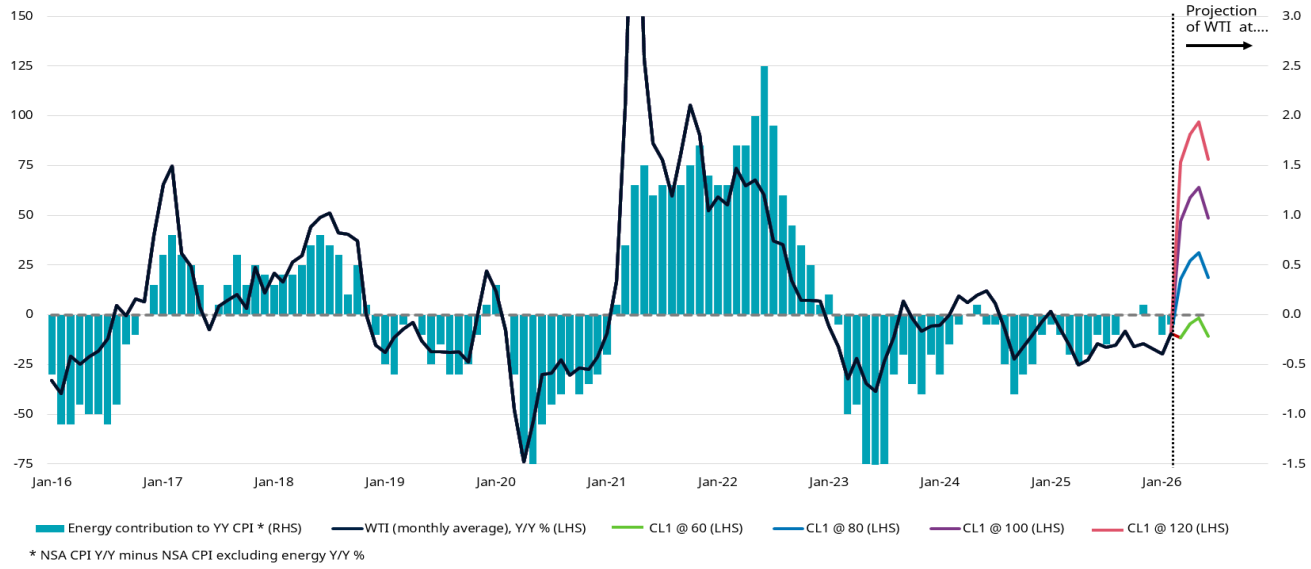
How big a shock?

Given the huge volatility and uncertainty, it's impossible to say how big an impact on growth or inflation this crisis may have- it will vary significantly depending on whether oil settles at $80, $100, $120.....

But we can estimate ranges for how severe the growth and inflation shock will be given different scenarios for oil, as shown in the chart below. Oil stabilising around $80 would add around 0.5% to headline CPI all else equal- a headwind to growth no doubt, but unlikely to cause serious alarm.

If we settle around $100 the situation becomes more difficult- the impact on inflation (and consumer real incomes) could be closer to 1%, leading to a bigger slowdown in growth. Above $120, the risk of recession would be meaningfully higher given that would likely be enough to erode consumer real income growth.

An estimate of energy contribution to headline CPI versus oil price scenarios



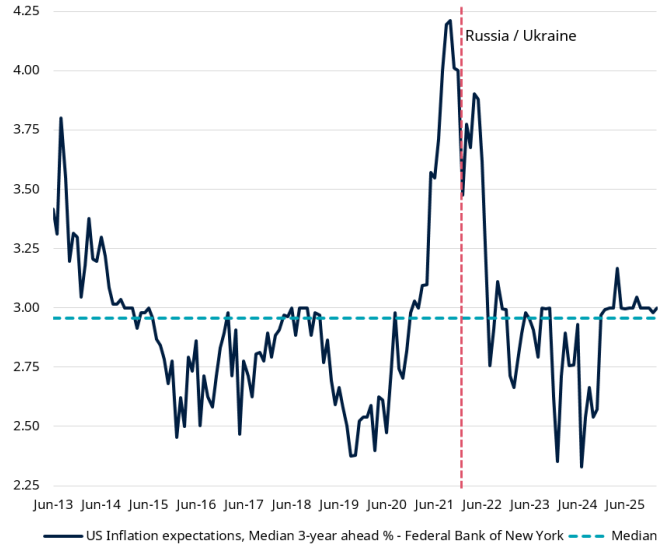
At least the starting point is better....

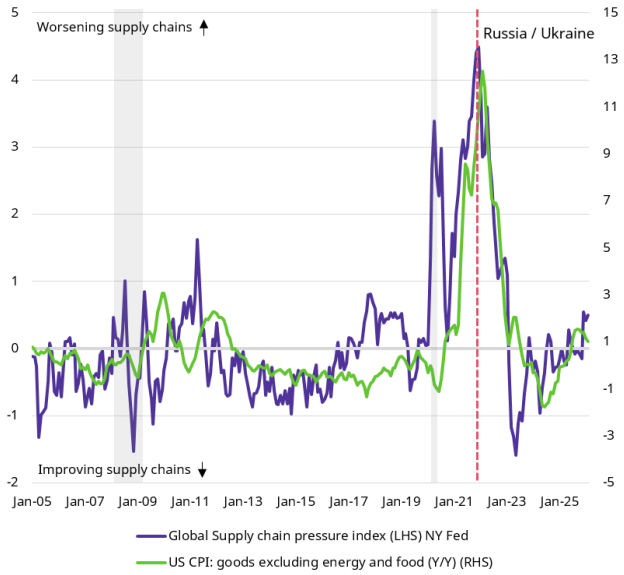
Central banks will be closely watching the likelihood of second-round impacts, such as rising medium-term inflation expectations, wages and supply chain disruption. The good news is that the starting point is better than in the 2022 energy price shock after the Russia-Ukraine conflict, when supply chains were already highly disrupted, inflation expectations dis-anchored and wage growth far above target-consistent levels. The war was simply the straw that broke the camel's back.

> "The good news is that the starting point is better than in the 2022....."

Across all these domains things are now much closer to equilibrium. That is not to be complacent-this is a major shock and could easily spiral out of control - but we'd rather go into this situation from a good starting point than a bad one. We remain vigilant for signs of second-round effects, but our base case would be these would be much more moderate than last time round.

Inflation expectations better anchored and supply chains less disrupted going into this conflict





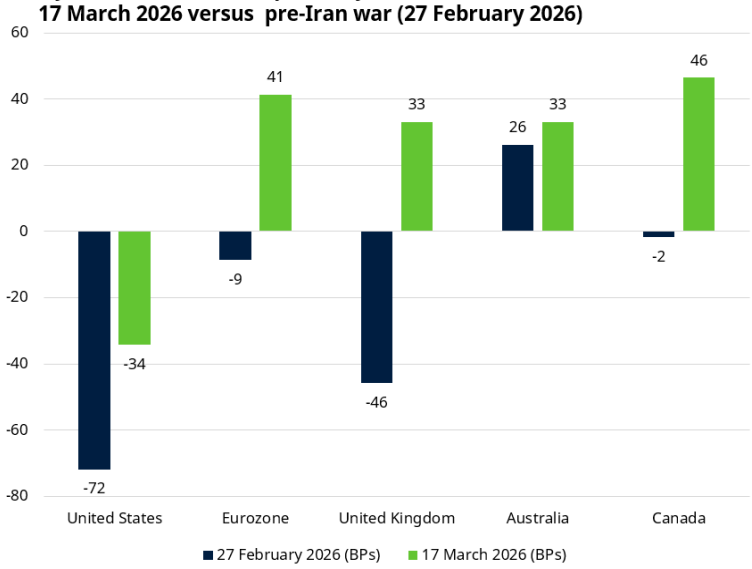
Source: Schroders, Macrobond March 2026

From cuts to hikes! Market pricing has gone pillar to post.

Bond markets have repriced significantly since the onset of the Iranian conflict. This is especially the case outside of the US and at shorter-dated tenors, with most central banks now having some degree of hiking priced over the next twelve months having previously priced either cuts or being on hold.

Undoubtedly, this reflects positioning liquidation due to the rise in volatility as well as the change in fundamentals- some of the biggest moves have been in markets where people were most engaged prior to the war. Given the volatility and the continued sensitivity to global energy prices, our stance remains 'neutral' on overall duration, instead preferring to focus on cross-market opportunities.

1 year rate hikes / cuts priced by the market
17 March 2026 versus pre-Iran war (27 February 2026)

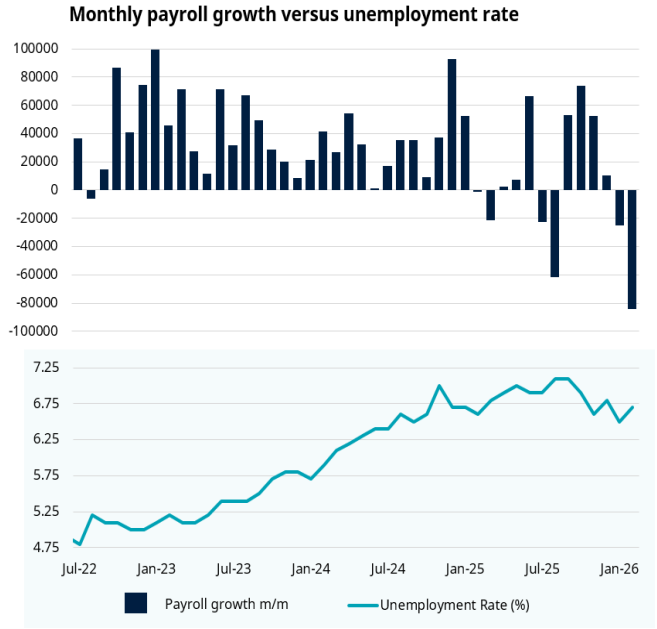


Source: Schroders 17 March 2026

O Canada

We particularly favour Canadian bonds, with nearly two hikes priced in 2026. Given that the economic backdrop remains inconsistent with this- such as a weakening labour market and slowing core inflation- we believe the chance of these being delivered by the Bank of Canada is low. It is our top pick in global duration, and we like to pair it against US Treasuries, where cuts are still priced into the curve.

Rate hikes priced into Canada look unlikely given dovish fundamentals



Source: Schroders, Macrobond March 2026

We also see opportunities in Australian duration. Here the situation is somewhat different- the economy is strong, and the Reserve Bank of Australia (RBA) is in the midst of a hiking cycle, the combination of which has seen yields move much higher. But the market is now pricing the RBA policy rate to go higher this year than in the post-covid peak, despite a materially better inflation outlook versus then. With spreads near the highs over the past ten years, we see the valuation case for long Australia versus US Treasuries as compelling and believe we are compensated for the RBA's hawkishness.

> "With spreads near the highs over the past ten years, we see the valuation case for long Australia versus US Treasuries as compelling...."

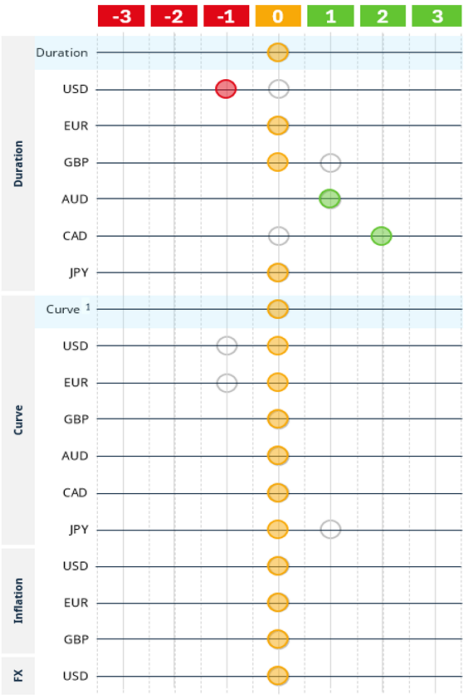
In the UK, we think the chance of the hikes currently priced being realised are extremely small - given the dovish Bank of England and the disinflationary tailwind we observed heading into this conflict. As such, the risk/reward is not as asymmetric as in other jurisdictions, such as Australia and Canada, and so we remain neutral for now.

Sitting, waiting, wishing...

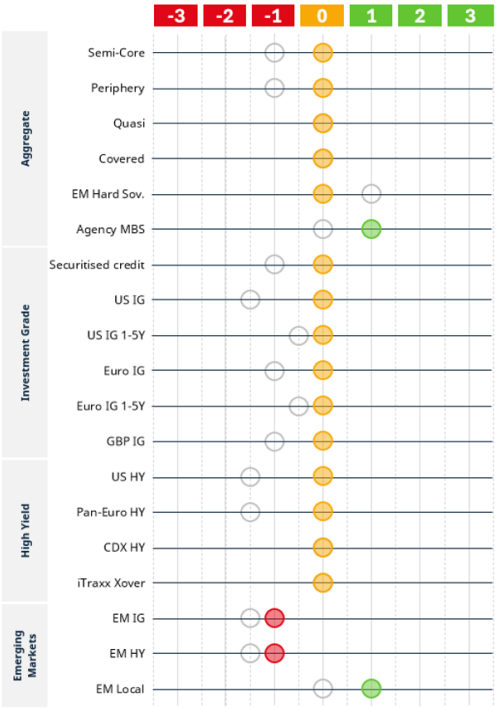
We remain patient in asset allocation. Valuations have improved in corporate credit, but remain unattractive overall. We move both investment grade (IG) and high yield globally to neutral from a negative score previously. Given the recent cheapening (both outright and versus US IG) however, we do upgrade US agency mortgage-backed securities back to positive and it is our top pick in asset allocation alongside emerging market local rates.

Schroders Global Unconstrained Fixed Income team's Scorecard: March 2026

Rates:



Credit:



[1] Negative curve score = steepener

Last month's score, where different

Source: Global Unconstrained Fixed Income. For illustrative purposes only. 17 March 2026

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